

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-23

SAMSUNG ELECTRONICS

AMERICA, INC.,

COMPLAINANT,

v.

HMM CO., LTD. F/K/A HYUNDAI MERCHANT MARINE CO.,
LTD.,

RESPONDENT.

RESPONDENT’S MOTION FOR PARTIAL SUMMARY JUDGMENT
REGARDING SHIPMENTS NOT IN U.S. – FOREIGN TRADE

Respondent HMM Co., Ltd. F/K/A Hyundai Merchant Marine Co., Ltd. (hereinafter “HMM” or “Respondent”) hereby moves, pursuant to 46 C.F.R. §§ 502.12 and 502.70, for partial summary judgment (“Motion”) with respect to the Verified Amended Complaint (“VAC”) filed by Samsung Electronics America, Inc. (“Complainant” or “SEA”). HMM seeks judgment dismissing the VAC claims with respect to those shipments that were discharged in Canada (the “Canada Shipments”), because they are outside the subject matter jurisdiction of the Federal Maritime Commission. The Canada Shipments did not move by water between a port in the United States and a port in a foreign country, as required by 46 U.S.C. § 40102(7), and HMM therefore was not acting as an ocean common carrier with respect to those shipments.

I. INTRODUCTORY STATEMENT

In response to discovery requests from HMM requiring SEA to identify the shipments which comprise the claims it has alleged, SEA produced a spreadsheet bearing Bates no. SEA-HMM-2761333. This spreadsheet provided information about each shipment from which SEA's claims were derived, including bill of lading and container numbers, discharge ports and the amounts SEA claimed for each shipment (a copy of this document, in the native format it was produced by SEA, is attached to the Respondent's Statement of Undisputed Material Facts as Exhibit A). Following receipt of Exhibit A, HMM discovered that the Canada Shipments included in the VAC, for which Complainant seeks reparations, did not move by water from a foreign port to a U.S. port. Instead, they moved from foreign ports to ports in Canada, from which they were transported by land to the United States.

Applying Excel's pivot function to search the data in Exhibit A for shipments discharged in Vancouver, HMM created a list of the claims which comprise the Canada Shipments and which are the subject of this Motion. This list of the Canada Shipments has been attached in its native form as Exhibit B and in a PDF form as Exhibit C to the Respondent's Statement of Uncontested Facts that accompanies this Motion.

As detailed below, the Canada Shipments are outside the subject matter jurisdiction of the Federal Maritime Commission ("Commission" or "FMC"), so the VAC should be dismissed with respect to those shipments.

II. FACTUAL BACKGROUND

The facts relevant to this Motion are set forth in Respondent's Statement of Undisputed Material Facts. Briefly, there is no factual dispute that the shipments identified in Exhibits B and

C did not involve a U.S. port, as required for FMC jurisdiction under the Shipping Act.¹ Instead, these imported shipments were discharged at a port in Canada (Vancouver, Canada), from which they were transported to the U.S. by land (rail and/or truck) for delivery at various terminals, pursuant to through bills of lading.

Although Respondent was not required to confer with Complainant before filing this dispositive motion, it nevertheless did so as discussed below, to potentially lessen the burden which this Motion, in addition to the other applications pending in this matter, would place upon the Presiding Officer. Complainant, however, declined to withdraw the claims it has asserted which are based upon the Canada Shipments and instead has advanced meritless arguments and citations to Commission decisions which are inapposite to the issue presented herein.

As a result, HMM has been compelled to file this Motion.

III. ARGUMENT

A. Applicable Standard

Although the Commission's Rules of Practice and Procedure ("Rules") do not explicitly provide for motions for summary judgment, Rule 12 of the Commission's Rules states that the Federal Rules of Civil Procedure ("Federal Rules") will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. (46 C.F.R. § 502.12). Pursuant to the foregoing, "The Commission applies the federal summary judgment standard (Fed. R. Civ. P. 56) in deciding parties' motions for summary decision." *Intermodal Motor Carriers Conference v. OCEMA*, Docket No. 20-14, 2024 WL 641501, at *9 (FMC Feb. 13, 2024)).

¹After manually comparing the shipments in Exhibits B and C to the actual bills of lading, HMM discovered that the bill of lading for one shipment, HDMULCHM06675100, states that the shipment was discharged in Los Angeles. Even though SEA's spreadsheet states that this shipment was discharged at Vancouver, HMM does not include this shipment in its Motion.

Under Federal Rule 56, a party is entitled to the entry of summary judgment if “there is no genuine dispute as to any material fact and the movant is entitled to judgment as a matter of law.” (FED. R. CIV. P. 56(a)). A material fact is one that is capable of affecting the outcome of litigation. (*Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 248 (1986)). “Mere allegations, unsupported by specific facts or evidence beyond the nonmoving party's own conclusions, are insufficient to withstand a motion for summary judgment.” (*Thomas v. Corwin*, 483 F.3d 516, 527 (8th Cir. 2007) (citing *Celotex Corp. v. Catrett*, 477 U.S. 317, 324 (1986))). If the non-movant’s evidence is “merely colorable” or “not significantly probative,” summary judgment may be granted. (*Liberty Lobby*, 477 U.S. at 249-50 (1986)).

Further, the existence of a factual dispute will not in and of itself defeat an otherwise properly supported motion for summary judgment. (*Anderson*, 477 U.S. at 247-48). “Where the record taken as a whole could not lead a rational trier of fact to find for the nonmoving party, there is no ‘genuine issue for trial.’” (*Matsushita Elec. Indus. Co. v. Zenith Radio Corp.*, 475 U.S. 574, 587 (1986) (citation omitted)). However, the inferences to be drawn from the underlying facts must be viewed in the light most favorable to the non-moving party. (*Id.*, at 587).

B. Burden of Proof

Although Respondent bears the burden of showing that there is no genuine issue of fact, it is Complainant that bears the ultimate burden of proving that the Commission has jurisdiction over the Canada Shipments. *Marine Transport Logistics, Inc. v. CMA-CGM (America) LLC*, 2019 WL 5206007 at *2 (ALJ Oct. 8, 2019) (“the party asserting jurisdiction bears the burden of proof if the opposing party raises lack of subject matter jurisdiction”).

C. The FMC Lacks Jurisdiction Over the Canada Shipments

The VAC alleges violations of several provisions of the U.S. Shipping Act of 1984, as amended (“Shipping Act”) that require or prohibit certain conduct by a common carrier. The provisions of the Shipping Act that the VAC alleges to have been violated are: 46 U.S.C. § 41102(c) (unreasonable practices); 46 U.S.C. § 41104(a)(3) and 46 U.S.C. § 41102(d) (retaliation); 46 U.S.C. § 41104(a)(10) (refusal to deal); 46 U.S.C. § 41104(a)(15) (non-compliant invoicing); and 46 U.S.C. § 41104(a)(14) (unreasonable charges). All of these statutory provisions apply to an entity acting as a common carrier, which the Shipping Act defines as a person that:

- (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;
- (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and
- (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country. . . .

46 U.S.C. § 40102(7).

In essence, the FMC's regulatory jurisdiction under the Shipping Act extends only to shipments that were loaded or discharged at a United States port. The Commission has no jurisdiction over shipments between foreign countries, including ports in Canada or Mexico. This is true even if the cargo is transported by land between the foreign country and the United States before or after the ocean transportation, as the Shipping Act requires that the vessel call at a U.S. port for FMC jurisdiction to attach.

The U.S. Court of Appeals has held repeatedly that when a carrier moves cargo via a port in Canada rather than via a port in the United States, it is not acting as a common carrier within

the meaning of the Shipping Act. In *Austasia Intermodal Lines, Ltd. v. Federal Maritime Commission*, 580 F.2d 642 (D.C. Cir. 1978), the Court held that a non-vessel operating common carrier was not acting as a common carrier within the meaning of the Shipping Act and was not required to file a tariff for cargo moving under a through bill of lading from Detroit, MI to Australia via ports in Canada because the cargo was not being transported by a vessel operating between a port in the United States and a port in a foreign country.

Similarly, in *Transpacific Westbound Rate Agreement v. Federal Maritime Commission*, 951 F.2d 950 (D.C. Cir. 1991), the Court upheld a Commission order declining jurisdiction over portions of carrier agreements covering trades between two non-U.S. countries, which Commission order was based on the fact that carriers entering into agreements covering so-called foreign-to-foreign trades were not common carriers with respect to the non-U.S. portions of such agreements to the extent their vessels were not calling at a U.S. port.

The foregoing rationale has been relied upon to grant summary judgment in favor of a respondent with respect to claims that demurrage, detention, per diem and yard storage charges incurred in the United States violated the Shipping Act because the cargo moved via a Canadian port and the carrier therefore was not a common carrier within the meaning of the Shipping Act with respect to those shipments. In *TZ SSE Buyer, LLC v. COSCO Shipping Lines Co., Ltd.*, FMC Docket No. 24-09, respondent COSCO moved for summary judgment on the grounds that the Commission lacked jurisdiction over shipments from a foreign country to the United States via a Canadian port. The administrative law judge granted the motion, stating:

There is no question that the containers identified in MPSJ Appendix A were discharged in Canadian ports. (See Undisputed Material Fact, ¶ 4). Applying the definitions in the statute to the undisputed material facts, Respondent is not a “common carrier” as defined in § 40102(7) as to the shipments that were discharged in Canadian ports. For such shipments, the vessels did not operate on the high seas or the Great Lakes between a port in the United States and a port in a foreign country. And if Respondent is not a “common

carrier” as defined by statute as to the shipments identified in MPSJ Appendix A, then Respondent cannot be liable under either §§ 41102(c) or 41104(a)(10) – which both require Respondent to be a “common carrier” – as to those shipments.

Order Granting Respondent’s Motion for Partial Summary Judgment and Denying

Complainant’s Motion for Leave to File a Surreply, FMC Docket No. 24-09 (ALJ, June 2, 2025)

at 4.

In light of the foregoing, HMM is not a common carrier with respect to shipments transported to the U.S. from a foreign country via a Canadian port and the Commission lacks jurisdiction over the claims in the VAC to the extent those claims apply to cargo moved via a Canadian port.

Exhibits B and C to the Respondent’s Statement of Undisputed Material Facts are a summary of the Canada Shipments which has been distilled from Exhibit A, the spreadsheet produced by SEA in response to the discovery requests by HMM requiring it to identify the shipments from which its claims have been derived. Each bill of lading referenced in Exhibits B and C, which were distilled from SEA’s own data in Exhibit A, shows the port of discharge as Vancouver, Canada. Because the cargo covered by the bills of lading did not move via a U.S. port, HMM did not act as a common carrier with respect to that cargo and the Shipping Act does not apply to that cargo.

Accordingly, the Commission lacks jurisdiction over claims alleged by SEA with respect to these cargoes.

D. Efforts to Resolve Without Judicial Intervention

Although it was not required to do so by the FMC’s procedural rules, counsel for HMM nevertheless informed counsel for SEA about the issue described above and the cases upon which HMM relied, and requested a voluntary dismissal of those claims predicated upon the

Canada Shipments. A copy of HMM's email dated April 24, 2026 to SEA's counsel is annexed to Respondent's Statement of Uncontested Facts as Exhibit D.

SEA declined to dismiss the claims based upon the Canada Shipments - a copy of its response dated June 8, 2026 is annexed thereto as Exhibit E.

To justify SEA's refusal, its counsel stated "...the Complaint alleges that HMM was acting as a common carrier with respect to the violations alleged in each count. It is therefore not appropriate on the face of the Complaint to withdraw any of the foregoing claims, none of which relies on allegations that HMM asserts are jurisdictionally deficient. It is therefore not appropriate on the face of the Complaint to withdraw any of the foregoing claims, none of which relies on allegations that HMM asserts are jurisdictionally deficient. Rather, the focus of your request is on SEA's ability to establish entitlement to reparations on certain charges that SEA may ultimately advance on the merits, and including satisfying the applicable burden to sufficiently establish many factors on a charge by charge basis."

This response misstates HMM's position. Further, it is a fundamentally flawed argument that does not consider the application of the FMC's case-by-case standard for the award of reparations.

In its Motion, HMM is not raising a reparations issue because the question of reparations presupposes a violation. Contrary to the implication in SEA's refusal to voluntarily dismiss, there cannot be a violation as to the Canada shipments because HMM was not acting as a common carrier under the Shipping Act with respect to those shipments. SEA's statutory claims based upon the Canada Shipments are therefore jurisdictionally deficient because they relate to cargo discharged in Vancouver. That is why the portion of SEA's claim related to those shipments should be dismissed.

SEA further posits that the cases HMM relies upon, *Austasia*, *Transpacific*, and *TZ SSE Buyer, supra*, “address jurisdiction more narrowly.” To the contrary, they are directly on point so HMM will not belabor this point, other than to note that these cases warrant dismissal of the claims derived from the Canada Shipments.

Finally, the cases cited by SEA in support of its refusal do not support denial of HMM’s Motion. *Earlean Edwards Dukart v. Ocean Star International Inc., D/B/A International Van Lines*, 2020 WL 3994385, FMC Dkt. No. 20-03 (ALJ July 10, 2020) (Initial Decision Granting Voluntary Dismissal) (admin. final Aug. 11, 2020) involved a shipment which was supposed to move from the United States to Belize. The Respondent’s motion for dismissal was predicated upon the fact that it never handled the Complainant’s shipment. There was no question that the Commission had subject matter jurisdiction over the matter; however the facts did not support a violation of any of the numerous sections of the Shipping Act which the pro se Complainant alleged. The holding in *Earlean* is simply inapposite to the issue presented by HMM’s Motion.

SEA’s reference to *Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.*, 29 S.R.R. 119, 162 (FMC 2001) also carries no weight in the instant analysis because the case was cited in *Earlean* solely for the purpose of defining an NVOCC, a concept which is not at issue here.

Finally, *River Parishes Company, Inc. v. Ormet Primary Aluminum Corporation*, FMC Dkt. No. 96-06 (FMC Feb. 3, 1999) (Report and Order) does not discuss the Commission’s jurisdiction at all and has no bearing on the analysis governing the Canada Shipments or HMM’s Motion.

IV. CONCLUSION

For the foregoing reasons, the Presiding Officer should grant partial summary judgment in favor of HMM with respect to the Canada Shipments identified in Exhibits B and C.

Dated: June 18, 2026

Respectfully submitted,

COZEN O'CONNOR, P.C.

By: /s/ Neil Quartaro
Neil Quartaro, Esq.
175 Greenwich Street, 55th Floor
3 WTC
New York, NY 10007
NQuartaro@cozen.com

COZEN O'CONNOR, P.C.
Joshua P. Stein, Esq.
Christopher Raleigh, Esq.
Kathryn Sobotta, Esq.
2001 M St NW
Suite 500
Washington, DC 20036
JStein@cozen.com
CRaleigh@cozen.com
KSobotta@cozen.com

COZEN O'CONNOR, P.C.
Henry Kim, Esq.
1180 North Town Center Drive
Suite 260
Las Vegas, NV 89144
HenryKim@cozen.com

Counsel to HMM Co., Ltd. f/k/a Hyundai Merchant Marine Co., Ltd.

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 18th day of June, 2026, the foregoing Motion for Partial Summary Judgment and accompanying Statement of Undisputed Material Facts were served via electronic mail on:

Christopher R. Nolan (chris.nolan@hklaw.com)
Gerald A. Morrissey III (gerald.morrissey@hklaw.com)
Kristine O. Little (kristine.little@hklaw.com)
Marisa Marinelli (marisa.marinelli@hklaw.com)
Ashleigh Higgs (Ashleigh.Higgs@hklaw.com)
Sean Sheely (sean.sheely@hklaw.com)
Allison Luzwick (Allison.Luzwick@hklaw.com)
Allison Skopec (Allison.Skopec@hklaw.com)
Jody Schisel-Meslin (Jody.Schisel-Meslin@hklaw.com)
Andrew Choi (Andrew.Choi@hklaw.com)

Counsel to Samsung Electronics America, Inc

/s/ Christopher Raleigh

Christopher Raleigh

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